eased the tensions and improved the relation. Regarding the pull out of the IPKF, which had created tensions between Sri Lanka and India, India under V.P. Singh withdrew the forces even before the set deadline of 31 March 1990. Gujral's visit to Bangladesh and talks about river water sharing also turned out to be fruitful.

V.P. Singh held office from 2 December 1989 to 10 November 1990. After the BJP withdrew support to the V.P. Singh government, he resigned after losing the trust vote. Chandra Shekhar broke away from the Janata Dal with 64 MPs and formed the Samajwadi Janata Party. He got outside support from the Congress and became the 11th Prime Minister of India. He finally resigned on 6 March 1991, after the Congress withdrew support from his government. For the brief term when Chandra Shekhar became the Prime Minister, he did not introduce any radical change in the course of Indian foreign policy.

Narasimha Rao (1991–1996): The Phase of Liberalization

The Indian National Congress with a nominal majority came to power with Narasimha Rao as the Prime Minister after the general election of 1991. When Rao assumed office, India faced a crumbling economy with a balance of payment crisis which had left India's foreign exchange reserves for only two weeks. Therefore, Dr. Manmohan Singh, the then Finance Minister began a more substantial economic reform to help the dwindling economy and boost production. Therefore, greater emphasis was placed on economic diplomacy a departure from the traditional foreign policy stance of India.

Now that the Soviet Union or the USSR had disintegrated and a new Commonwealth of Independent States (CIS) comprising Russia, Belarus and Ukraine had emerged, the Rao Government was forced to renegotiate various ties which were in place with the erstwhile Soviet Union. India also slipped from the privileged position, which it used to enjoy under the USSR. To India's greatest dissatisfaction, Russia voted in favour of a Pakistani-sponsored resolution declaring South Asia as a nuclear-free zone. Further, the supply of cryogenic engines by Moscow to aid India's space programme for peaceful explorations was disrupted under immense US pressure which also